



Figure 43.1 A good example of a horn bottom. Two downward price spikes, separated by a week, look like a steer's horn flipped upside-down.

Identification Guidelines

How do you correctly identify horn bottoms? [Table 43.1](#) shows identification characteristics.

Appearance. Horns are visible on weekly charts. Although they appear on daily charts, weekly charts make selection easier and performance more reliable. For the horn on the left in [Figure 43.2](#), the chart shows two tall, downward price spikes separated by a week. The low of the center week stays well above either of the spike lows, emphasizing the inverted horn shape of the pattern.

Looking back over the months, you can see that there are no downward spikes that come near the height of the horn spikes (as measured from the lowest low to the lower of the two adjacent weeks). The twin horns mark an unusual event, one that an investor should pay attention to.

Clear visibility. For the left horn in the figure, the pattern appears after a downward price trend, allowing clear visibility to the left of the horn,